

compartmentalised records with built in redundancies has the potential to turn the insurance industry on its head.

There are several areas where this technology can be applied which will benefit the insurance provider by lowering costs and also benefit the consumer in terms of quicker and better service. In fact, McKinsey, a management consulting company has estimated that for all blockchain related applications across sectors (excluding Bitcoin only related solutions) nearly a quarter of them are in the insurance sector. Let's explore a few areas where this technology could turn the existing system on its head.

Smart Contracts & Claims management

Honestly, how many of you have ever read an insurance contract or agreement word by word? The legalese is akin to Greek and Latin for the layman and the fine print enough to let out a string of expletives. The normal modus operandi is to understand the broad terms from the provider or the agent and then run to them in case of a claim. Blockchain could change all that with smart contracts.

Simply put, smart contract is a self executing code triggered upon certain parameters being met. This means that the parameters are known to the insured and the insurer; so you, as the customer, know exactly what you are getting into. The contract with all its parameters and conditions is recorded on the network as a block. This data contains the identity or identities of the insured, the provisions of the contract and the terms and conditions. The beauty of a smart contract is due to the immutable nature of blockchain. This ensures that there is complete transparency and almost zero chances of need for arbitration. Also due to the security features of the network, both the parties can rest easy in the knowledge that their data will always remain confidential and private.

Currently, if a claim is to be filed, it usually involves a mountain of paperwork, verification process and the patience of a zen master to follow up with the insurer for weeks or even months. Since smart contract is a self executing protocol, it automates the payments upon verification by the network. Under the aegis of blockchain, all paperwork will be become redundant. Once a claim is filed, the network verifies the details of the claim, compares it with the recorded data and if it's a match, processes the claim and releases the payment. This in turn is recorded as another block on the network.

The process of the claim can also be initiated by a trusted third party and not necessarily the insurer or beneficiary. For example, in case of life